

Initech Solutions — Finance Policy & Annual Financial Summary

Fiscal Year 2024 | Prepared by Finance & Accounts | CONFIDENTIAL

1. Financial Governance Framework

Initech Solutions's financial operations are governed by a three-tier oversight structure: the Board Audit Committee (strategic oversight), the CFO office (policy & compliance), and Departmental Finance Business Partners (operational execution). All financial statements are prepared in accordance with IFRS.

- Fiscal Year: January 1 – December 31.
- Functional currency: USD. Consolidated accounts include 3 subsidiaries.
- External audit performed annually by a Big-4 audit firm.
- Internal audit cycle: quarterly, with risk-based scope.

2. FY2024 Income Statement Summary

Line Item	FY2024 (USD M)	FY2023 (USD M)	YoY Growth
Total Revenue	142.6	118.3	+20.5%
— Product Revenue	98.4	79.2	+24.2%
— Services Revenue	44.2	39.1	+13.0%
Cost of Revenue	(52.1)	(44.7)	+16.6%
Gross Profit	90.5	73.6	+23.0%
Gross Margin %	63.5%	62.2%	+130 bps
R&D Expense	(28.3)	(22.1)	+28.1%
Sales & Marketing	(31.4)	(27.6)	+13.8%
G&A Expense	(12.8)	(11.2)	+14.3%
EBITDA	18.0	12.7	+41.7%
Depreciation & Amortisation	(3.2)	(2.8)	+14.3%
EBIT (Operating Profit)	14.8	9.9	+49.5%
Net Interest Income/(Expense)	1.1	(0.4)	N/M
Tax Expense (27% effective rate)	(4.3)	(2.6)	+65.4%
Net Profit After Tax	11.6	6.9	+68.1%
Net Margin %	8.1%	5.8%	+230 bps

3. Balance Sheet Highlights (as of Dec 31, 2024)

Category	FY2024 (USD M)	FY2023 (USD M)
Cash & Cash Equivalents	34.8	22.4
Accounts Receivable (net)	18.2	14.7
Prepaid & Other Current Assets	6.4	5.1
Total Current Assets	59.4	42.2
Property, Plant & Equipment (net)	12.3	11.6
Intangible Assets & Goodwill	24.7	24.7
Total Non-Current Assets	37.0	36.3
TOTAL ASSETS	96.4	78.5
Accounts Payable	8.9	7.4
Deferred Revenue	21.3	17.8
Total Current Liabilities	30.2	25.2
Long-Term Debt	10.0	15.0
Total Equity	56.2	38.3
TOTAL LIABILITIES & EQUITY	96.4	78.5

4. Expense & Procurement Policy

All company expenditure must be pre-approved in accordance with the following authorisation matrix. Purchase orders are mandatory for all vendor engagements above \$1,000. Three competing quotes are required above \$10,000.

Expenditure Amount	Approver Level	PO Required	Turnaround SLA
Up to \$500	Team Lead / Manager	No	Same day
\$501 – \$5,000	Department Head	No	2 business days
\$5,001 – \$25,000	VP / Director	Yes	3 business days
\$25,001 – \$100,000	CFO	Yes + 3 quotes	5 business days
Above \$100,000	CEO + Board approval	Yes + 3 quotes	10 business days

5. Travel & Expense Reimbursement Policy

Business travel must be pre-approved by the department head. All claims must be submitted within 15 days of travel completion via the expense management system, supported by original receipts.

Category	Economy Class	Business Class (eligible)
Domestic flights (< 4 hrs)	Yes	No
International flights (≥ 4 hrs)	Yes	VP+ grade
Hotel (domestic)	Up to \$120/night	Up to \$200/night
Hotel (international)	Up to \$200/night	Up to \$350/night
Daily Meal Allowance (domestic)	\$30/day	\$50/day
Daily Meal Allowance (international)	\$60/day	\$80/day
Ground transport	Actual (cab/Uber receipt required)	Same

6. Cash Flow & Liquidity Management

Initech Solutions maintained a strong liquidity position throughout FY2024 with a current ratio of 1.97× (vs. 1.67× in FY2023) and a quick ratio of 1.75×. Free cash flow for FY2024 was \$15.2M (FY2023: \$8.6M), representing a 77% increase year-on-year driven by improved collections and disciplined capex.

- Days Sales Outstanding (DSO): 46 days (target: <50 days). ✓
- Days Payable Outstanding (DPO): 38 days (target: 35–45 days). ✓
- Capex as % of revenue: 2.3% (FY2023: 2.8%). Reduction driven by cloud shift.

The Finance team produces monthly MIS reports distributed to the Leadership Team by the 5th working day of each month. Questions: finance@initech.com.